

Is There a Universal Ethic?

by Sophia



WHAT'S COVERED

In this lesson, you will consider universal values that cross cultural boundaries. Specifically, this lesson will cover:

1. A Global Problem

Although ethical practice has been directly influenced by religion, as noted, ethics is not religion, and religious belief is not a prerequisite for a commitment to business ethics. For example, although what constitutes ethical behavior in Islamic society is strongly linked to religious values, secular (attitudes and beliefs that do not have a religious or spiritual basis) philosophers can endorse a highly developed commitment to commercial ethics, too. Furthermore, most religions have high ethical standards but do not address many of the problems faced in business. And although a good system of law incorporates ethical standards, the law can and sometimes does deviate from what is ethical. For example, breaking a promise to a colleague is not illegal, but is probably unethical. Therefore, the law does not address ethics in its entirety. Finally, in the same vein, ethics is not science. The social and natural sciences provide data to make better ethical choices, but science cannot tell people what they ought to do (nor should it), except in some cases, where science does provide guidelines for how to deal with certain situations, such as how to treat living animals when performing experiments.

Yet a shared ethics must exist that is independent of specific religions and cultures. Business of any kind is, after all, a set of relationships, and relationships rely on trust. Some behaviors erode the trust that is necessary for business to thrive. These include bribery, embezzlement, and fraud. This tutorial will use the word **corruption** to include all of these violations of trust. **Bribery** is an activity where money or a favor is given in order to influence someone with power. For example, in 2022, a CEO was accused of bribing a coach at Harvard University to get his two sons into the University, to the tune of \$1.5 million dollars (Brubaker Calkins & Lawrence, 2022)! **Embezzlement** is theft or misappropriation of funds in a workplace. For example, in 2022, the CEO of a home health care company was charged with embezzlement because she kept the premiums deducted from employees' paychecks (Brnger, 2022). **Fraud** can include deceit to attempt to harness an unfair advantage or for profit. For example, recently a team of teachers in Clark County School District, Nevada, was accused of making up fake teacher names to apply for classroom funds, for which they purchased items for themselves, such as drones and video games (Murphy, 2022).

Corruption not only damages reputations but it makes companies and countries much less attractive to investors. Corruption is also expensive; according to the World Economic Forum, trillions are lost each year worldwide as a result of corruption, a staggering waste not just of resources but of credibility for business in general.



According to the Union Internationale des Avocats, an international, nongovernmental association of legal professionals, corruption “corrodes the democratic principles of accountability, equality, and transparency. It poses an extremely high cost to the citizenry, it saps the credibility of the government, and it places companies under an unbearable economic burden.” The UN Convention Against Corruption has called corruption “an insidious plague” that exists everywhere and “hurts the poor disproportionately by diverting funds intended for development, undermining a Government’s ability to provide basic services, feeding inequality and injustice and discouraging foreign aid and investment.” Like a pandemic, corruption can be seen as an international problem which all countries have a stake in solving.

Corruption appears to exist everywhere, so it would seem to require a persistent and consistent answer everywhere. Can business ethics provide one? Is there a set of **universal values** that all can endorse? Are there “human values” that apply everywhere despite differences in time, place, and culture? If not, and if ethical standards are relative, are they worth having?



TERMS TO KNOW

Corruption

Severe violations of ethics that undermine the trust needed for businesses to thrive; the most common forms of corruption are bribery, embezzlement, and fraud.

Bribery

An activity where money or a favor is given in order to influence someone with power.

Embezzlement

Theft or misappropriation of funds in a workplace.

Fraud

Includes deceit to attempt to harness an unfair advantage or for profit.

Universal Values

A conceptual idea of shared values across all cultures.

2. Humanistic Ethics

It is hard to argue that there is anything like an absolute value system, but as you saw above, there are some conditions under which businesses thrive and others where business suffers. If not an absolute ethical value, you can at least say there are universal conditions or rules for businesses (and the people who conduct business) to do well and be happy. Ethical systems, whether utilitarian, rights-based, or based on natural law and virtue ethics, are attempts to translate conditions like these into workable solutions for people. From these systems has emerged a basic set of ethical norms for the business world.



DID YOU KNOW

Sociologist G.P. Murdoch (1897–1985) made it his life's work to discover constants across cultures, leading to a definitive list of shared qualities all cultures have. For example, the games people play vary from culture to culture, but all cultures play games. Family structures change from culture to culture, but all cultures have special terms for close family members. Other traits he identified include things like age grading and ceremonies celebrating adulthood, rules for courtship, and special days when gifts are exchanged. These constants give credence to the idea of universal values.

Normative business ethics should address systemic issues such as oversight and transparency as well as the character of individuals who make up the organization. Human flourishing may not be the immediate concern of business, but managers and employees have a significant impact on business performance. Giving employees common-sense advice and training in practical ways to counter unethical behavior, as well as ethical role models at the top of the organization, can be more effective than prevention. There are programs that do this, such as “Giving Voice to Values” at the Darden School of Business at the University of Virginia. These programs are effective for their ability to help individuals act on their principles. As effective as they may be, however, they beg the larger question not of how someone can act on what their conscience tells them but how to determine what their conscience is telling them in the first place.

IN CONTEXT

The Universal Declaration of Human Rights, adopted by the United Nations General Assembly in December 1948 (but not signed by the United States), contains a list of basic human rights and is an attempt to find ethical standards that cross cultural boundaries. The declaration begins by stating that:

All human beings are born free and equal in dignity and rights. They are endowed with reason and conscience and should act towards one another in a spirit of brotherhood (United Nations, 1948).

Subsequent articles cover a range of topics such as freedom of speech and thought, autonomy, guaranteed access to education, and labor protections. Although it has no legal meaning, it represents an attempt by diplomats across the world to find the common ethical standards that guide people of diverse cultures and religions. In 2022, a new article was added that addresses the ability to “living in a clean, healthy and sustainable environment” (United Nations, 2022).

This document is a useful starting point for the way business can conduct itself. Let us look at how it is possible to align business with human rights in such a way that both profitability and responsibility are honored across the globe.

One model of ethical behavior, sometimes called the **humanistic business model**, may provide the answer for businesses that wish to achieve the dual goal of human flourishing and responsible profits. In this model, organizations focus on employees as a vital part of the operation and support them in their professional training, health care, education, family responsibilities, and even spiritual concerns. Leaders create positive relationships with stakeholders, including their employees, to cultivate investor goodwill and because they believe in the underlying values of trust and authenticity. The influence of positive psychology is evident, and there is much to commend in this kinder approach to the job of management that makes an effort to establish “sustainable human welfare.” However, happy employees are one thing; the human flourishing identified by Aristotle and John Stuart Mill is quite another. What, then, is missing from humanistic business?



BIG IDEA

Humanism as a principle is about the innate value of all individuals that is not sourced in any single religion or divine being. Although humanism is usually presented as antithetical to religion, in the business sense it is a way for a company or organization to assess the worth of all individuals without favoring any religious tradition.

The problem is that if anything flourishes in this model, it is often the business rather than the employees. After all, free enterprise has the interests of the enterprise at heart. But employees are human beings first, which means any attempt to improve their welfare must begin by thinking of them as human beings rather than as employees. How can businesses do this?

One alternative is to put the humanities into business. Businesses currently rely heavily on data analytics, algorithms, and statistical analyses to drive decision making. The use of these tools is often backed by social science research in consumer behavior, behavioral finance, and cognitive studies. But looking to the humanities to understand business is an opportunity to engage business in subjects and ideas that have a tremendous, if often overlooked, impact on people. After all, literature that has stood the test of time can provide tremendous insight into human behavior, and Homer or Shakespeare may be more relevant to contemporary executive leadership than a business seminar on how to motivate employees.

In fact, one could argue that anything that makes an impact on people should legitimately be within the scope of business. Richard DeGeorge (1933–) of the University of Kansas argues that students in business “need to understand people and their motives, to know how to read and judge character, and to have the ability to imagine themselves in another’s shoes, be they those of a competitor, a boss, or a subordinate. For those dedicated to the case method, novels, short stories, and plays offer an inexhaustible storehouse of riches, more detailed, subtle, and complete than most cases written up for courses.”



BRAINSTORM

Are there stories, plays, or other works of art that have universal appeal? Are there any that particularly apply to business?

In DeGeorge’s humanities model, business ethics would not prepare students to do certain things, for which they likely will be trained by their employers, but to be certain persons. DeGeorge suggests that “a course in the philosophy of business would enable students to think about the foundations of business—its values, ends, purpose, and justification . . . philosophy could add a critical element to business education, an element that would keep business education always alive and prevent it from becoming an accepted, orthodox ideology.”

Finally, if normative business ethics is to recognize and, ultimately, be based on the individual, it must address another human trait: bias. Intellectual, emotional, and social biases affect all decision making, including those of an ethical nature. Some bias is good, as in having a favorable disposition toward those who work hard in

intellectually honest ways. Bias also rewards those who support and nurture the best elements of a culture, whether corporate, social, or political. But it becomes dangerous when people use it to blind themselves to the reality around them, reinforce hardened positions even in the face of contradictory evidence, and shirk their responsibility as moral beings.

An example of bias occurs when employees engage in unethical activity because it has been sanctioned by higher-ups. They abdicate personal responsibility by assigning blame elsewhere. However, no amount of rationalization of the fear of job loss, financial pressure, desire to please a supervisor, and the rest, can justify such behavior, because it diminishes **moral agency**, the self-awareness, freedom, and ability to make choices based on one's perception of right and wrong. And such agency needs to be at the heart of business ethics. After all, you cannot make a commitment to serve customers, develop leaders, and improve life for all stakeholders unless there is freedom and moral agency, the necessary ingredients in establishing an attitude of concern—that is, respect for oneself and for others, including all appropriate stakeholders. This itself is an extension of the classical Golden Rule: treat others as you would want to be treated.



BIG IDEA

Each person has moral agency, meaning they are responsible for their ethical decisions regardless of the climate in which those decisions occur. “Just following orders” or “everyone does it” are no defense for unethical behavior.



TERM TO KNOW

Humanistic Business Ethics

An organizational ethos to focus on employees as a vital part of the operation and support them in their professional training, health care, education, family responsibilities, and even spiritual concerns.

Moral Agency

The self-awareness, freedom, and ability to make choices based on one's perception of right and wrong.



SUMMARY

In this lesson, you learned that while ethics and moral codes are present in all cultures, there is no universal agreement, and they are not all the same. While there are no universal ethics across languages, cultures, and countries, there is common ground, rules and customs for business that do tend to promote greater good and happiness. There are also **global problems** which exploit, damage, and lead to negative outcomes for everyone. In response, **humanistic ethics** reflects attempts to create ethical norms independent of religion or culture, centered on the basic worth and rights of all people. You have a role and a responsibility to exercise ethical judgments about your own actions, your own decisions, and must consider others as you consider yourself, by practicing the Golden Rule.

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